

Fear & Greed Index vs Trader Performance

This report explores the relationship between Bitcoin market sentiment (Fear vs Greed) and trader performance on Hyperliquid. The analysis combines two datasets: 1) Historical trade data 2) Bitcoin Fear & Greed index.

Methodology:

1. Data preprocessing (timestamp conversion, merging datasets)
2. Exploratory Data Analysis (distribution plots, trade volume)
3. Sentiment-wise performance comparison (Fear vs Greed)
4. Correlation analysis between sentiment and PnL

Exploratory Data Analysis:

- PnL distribution shows variation across trades.
- Trading activity fluctuates by day and sentiment.

Key Insights:

- Fear periods → higher average PnL per trade (~531), lower total volume (~31.6M)
- Greed periods → lower average PnL (~139), higher total volume (~87.9M)
- Correlation between sentiment and performance is weak (-0.05).

Conclusion:

Traders are more aggressive during Greed phases (higher volume, but lower efficiency), while Fear phases lead to fewer but more profitable trades. Market sentiment provides useful context, but it is not a strong standalone predictor of trading profitability. It should be combined with other indicators for smarter strategies.